The Big Short

Michael Burry has proven himself a rare fund manager. He has a great ability to identify a variant perception versus Wall Street consensus, and then find a way to express that view in a market position.

In the years leading up to the Great Financial Crisis, Scion Capital, Burry's hedge fund, bet against the housing market via collateralized debt obligations (CDOs).

As we learned in Michael Lewis's book *The Big Short*,[43] Burry had the courage of his conviction to stay with his position, even as his clients and others opposed it. The result was incredible returns at the peak of the crisis. As real estate fell 32% nationally, and the S&P 500 crashed 57%, Burry's fund made over $725 million, and he personally made a profit of $100 million.[44]

The thing is, making a bet and staying with it is very different than making a forecast. What a manager says in an interview (or a tweet) during the trading day is usually them talking their book, or seeking some free marketing. It costs nothing and is usually forgotten.

Except when people like Adam Khoo keep track of what you have been saying publicly.[45] Burry, since famously nailing the collapse of the subprime mortgage market, has been looking for a replay of that era to no avail, making regular predictions about an imminent stock market crash.